Afghan army launched a spectacular offensive. Sometime in April 1980, the Indian government was pressured by Americans to openly criticise the presence of Soviet troops in Afghanistan, but Indira Gandhi refused to yield. However, the CIA observed that Indira was disturbed by the Soviet occupation of Afghanistan. It said in a report:

She [Indira Gandhi] believes that Afghanistan falls within Moscow's sphere of influence and Soviet intervention must be accepted as a fait accompli that will be sustained on Moscow's terms and that the sooner the Soviets consolidate their control, the sooner they will substantially reduce their military presence. If Pakistan continues to support the Afghan insurgents, New Delhi believes the Soviets, at a minimum, may try to undermine President Zia's government and replace it with a pro-Soviet regime. Gandhi also fears that the Soviets and their Afghan puppets may move against rebel sanctuaries on Pakistani soil and that the situation would then quickly deteriorate. New Delhi might be forced to accept or even participate in a Soviet takeover of Pakistan.

It became clear on 14 May 1980 that the CIA assessment had not been fully accurate. Afghanistan announced a seven-point political settlement programme that included a proposal for direct bilateral negotiations with the governments of Iran and Pakistan to promote friendly relations, discuss bilateral issues and provide immunity from prosecution to all Afghans who had left the country for various reasons and were now willing to return. The Karmal government also emphasised that the bilateral accords should be backed by appropriate political guarantees by the Soviet Union and the United States not to wage subversive activities against Afghanistan. As far as the withdrawal of Soviet troops from Afghanistan was concerned,